

UK Post Office Scandal



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- **Horizon** is a ***counter-top sales and accounting system***, commissioned by the government to automate Post Office services. It ***went live*** in Post Office branches in **1999** and an updated version ***is still in use today***.
- When it was rolled out, Horizon was described by **Fujitsu** as the “largest non-military IT system in Europe”. About ***40,000 Horizon terminals*** were installed in all Post Offices across the UK.
- For the first 10 years of Horizon’s existence, transaction and account ***data was stored on terminals in each branch before being uploaded to a central database*** via ISDN. ***this part of the system simply did not work***.
- Hundreds of individuals who operated Post Office branches (subpostmasters, Poststellenleiter) ***were convicted on fraud and theft charges*** on the basis of ***missing funds identified by the Horizon accounting system***. Thousands more subpostmasters were forced to pay the Post Office back for these shortfalls.

UK Post Office Scandal – Example 1

An **example** of where Horizon duplicated part of a transaction following a system crash.

*A problem (**Dalmellington Bug***) was reported to the SSC (System Support Centre) on 4 March 2010 where a SPM (Subpostmaster) had tried, on 2 March 2010, to **transfer out £4,000** ... from an individual stock unit into the shared main stock unit **when the system crashed**.*

*The SPM was then issued with 2 x £4,000 receipts. These **two receipts** had the **same** session number.*

However, the main thrust is that when the SPM did the cash declaration, although the main stock unit (**into** which the £4,000 was being transferred) "was fine", the unit from which the cash was taken "was out by 4000 pounds (**a loss** of 4000 pds)".

*One, named the "Dalmellington Bug", after the village in Scotland where a post office operator first fell prey to it, would see the screen freeze as the user was attempting to confirm receipt of cash. Each time the user pressed "enter" on the frozen screen, it would silently update the record. In Dalmellington, that bug created a £24,000 discrepancy, which the Post Office tried to hold the post office operator responsible for.

UK Post Office Scandal – Example 2

An **example** about “who carried out an action”.

Data could be altered by Fujitsu on Horizon **as if at the branch**; under Legacy Horizon, transactions could be inserted at the counter in the way Mr. Roll describe done **without the SPM knowing about this**.

Mr. Godeseth also confirmed that it **would appear as though the SPM themselves had performed** the transaction. This is directly contrary to what the Post Office had been saying publicly for many years.

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- A senior developer said:
 - *"It had gone through the test labs God knows how many times, and the **testers** were **raising bugs by the thousand.**"*
 - *The system built with "**no** design documents, **no** test documents, **no** peer reviews, **no** code reviews, **no** coding standards".*
 - *"To my knowledge, **no one** on the team had a computer science degree or any degree-level qualifications in the right field. They might have had lower-level qualifications or certifications, but **none of them had any experience in big development projects** or knew how to do any of this stuff properly. **They didn't know how to do it.**"*
 - *"The **asynchronous system** did not communicate in real time but does so using a **series of messages** that are stored and forwarded, **when** the network connection is available. **This means that messages to and from the centre may trip over each other.** It is perfectly possible that, if not treated properly, messages from the centre may overwrite data held locally.*

UK Post Office scandal recap

- **How long did the scandal last?**
 - It started in the late 1990s, and it's still going.
- **The main point:**
 - Hundreds of former post office workers were wrongly convicted of stealing money amid accounting discrepancies at branches across the UK. It has now emerged that faults with the Post Office's computer system Horizon are to blame for most if not all of the discrepancies.
- **How were the accused affected?**
 - It has varied. Some were falsely imprisoned. Others have lost their life savings to the point of bankruptcy. Some died before their names could be cleared.
- **Have all the falsely accused been cleared?**
 - No.
- **Has compensation been paid?**
 - In many cases, yes. But not all cases. Where compensation has been paid, it has frequently been found to have been less than the legal fees incurred by the defendants.
- Horizon's developer – Japanese company Fujitsu – continues to win UK government contracts for service provision.

Ethische Überlegungen

Informatik

24. Februar 2026

Ethische Überlegungen

1. Lawyers, Government

- The Post Office and its management were willing to expend **vast sums of money**, and to instruct the **most expensive lawyers** that money can buy, **to prevent the truth coming out**. They failed, but they easily might not have done. (<https://www.postofficetrial.com/2021/06/marshall-spells-it-out-speech-to.html>, 03.10.2024)

2. Non-Disclosure

- There were hundreds of bugs in the software, some of them led to the money receipted by the branch falling short of the money Horizon calculated the branch should have.
- The question is, why were these bugs not disclosed?
(<https://www.guildhallchambers.co.uk/2024/03/11/the-post-office-disclosure-lessons-from-a-national-scandal/> 03.10.2024)

3. Apologies

- Patterson, the most senior Fujitsu Services Ltd director, who started his career at the company in sales, said: "To the subpostmasters and their families, we apologise, Fujitsu apologises and is sorry for our part in this appalling miscarriage of justice. (<https://www.theguardian.com/uk-news/2024/jan/19/post-office-inquiry-horizon-it-scandal-software-fujitsu> , 03.10.2024)

Ethische Überlegungen

4. Culture of Non-recording

- Clarke's (Solicitors contracted by POL (Post Office London) to prosecute SPMs) second advice a few months later stated that since his first advice a number of conferences had been conducted in order to collate disclosable material which could then be provided to current defendants and those already convicted. He had since been ***informed orally*** that some personnel in POL were advocating ***not producing records of meetings*** in order to ***avoid having to disclose them***. (<https://www.guildhallchambers.co.uk/2024/03/11/the-post-office-disclosure-lessons-from-a-national-scandal/> , 03.10.2024)

5. Completed List of Issues (Selection)

- Who was responsible for decision-making in relation to the commissioning, selection, specification and design of the Horizon IT System?
- How and by whom was the Horizon IT System piloted?
- What training was provided in relation to the use and operation of the Horizon IT System to SPMs, managers and assistants during the relevant period?
- Who was responsible for conducting investigations into the cause(s) of disputed shortfalls, discrepancies and transaction corrections? What experience and qualifications did they have? Were these adequate?
- What impact (both past and present) have the failings of the Horizon IT System had upon affected SPMs, managers and assistants? (<https://www.postofficehorizoninquiry.org.uk/publications/completed-list-issues> , 03.10.2024)

Ethische Überlegungen

6. Recent Developments / Compensation

- As of February 2024, 100 sub postmasters' convictions have been overturned in court.
- Wrongfully convicted individuals and those affected by the scandal are now **eligible for compensation** from the Post Office. (<https://latouchetraining.ie/the-uk-post-office-affair-a-cautionary-tale-for-ireland/> , 03.10.2024)

7. Hierarchical pressure

- Investigating officers can be subject to hierarchical pressure to follow a certain narrative. This was evident in the Post Office case as senior managers seemed to follow the collective agreement that there was not a fault in the system. Taking such a stance is not only unlawful but it can hinder organisation growth. (<https://www.hrgrapevine.com/content/article/the-effects-of-being-falsely-accused-what-we-can-learn-from-the-post-office-scandal-moorepay> , 03.10.2024)

8. External Audit

- One of the key criticisms levelled against **auditors** in the Post Office scandal is **their failure** to ask the right questions and challenge the Post Office's assertions regarding the reliability of the Horizon software. (<https://www.accountancyage.com/2024/01/18/the-role-of-auditors-in-the-post-office-scandal-a-need-for-greater-accountability/> , 03.10.2024)

Ethische Überlegungen

9. Unequal relationship

- Ms Perkins (Former Post Office chair) told the inquiry it was not uncommon for organisations ***contracting with IT companies "to be at a disadvantage"*** and that she had concerns about the relationship with Fujitsu ***being unequal***. (<https://www.bbc.com/news/articles/c88847v14e3o> , 03.10.2024)

Literatur

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